AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Final Examination - Version B

First Semester 2025-2026

22 – January – 2026

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examin
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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- **Question 1 (20 marks):**

a. Explain the importance of a cash flow statement. What is its primary and secondary objectives? How can its information be useful? (10 marks)

b. What are the advantages of leasing for lessors? (10 marks; mention 4 advantages; 2.5 marks for each one)

- **Question 2 (41 marks):**

Winchester purchased $50,000 of 8 percent bonds of Kensington on January 1, 2024, at a premium, paying $52,709. The bonds mature January 1, 2027 and yield 6 percent; interest is payable on July 1 and January 1.

Required:

a. Record the journal entry for the investment on January 1, 2024.
b. Prepare the full three-year interest revenue schedule (i.e. bond amortization schedule) for the debt investment. Show your calculations for the first semiannual payment.
c. Record the journal entry for the receipt of the first semiannual payment on July 1, 2024.
d. Winchester is on a calendar-year basis. Record the journal entry for the accrued interest from the second semiannual payment on December 31, 2024.

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- **Question 3 (39 marks):**

The statement of financial position data of Distribution Ltd. at the end of 2025 and 2024 are as follows:

	2025 ($)	2024 ($)
Equipment	10,000	7,500
Accumulated Depreciation - Equipment	(2,000)	(1,000)
Land	4,000	4,000
Inventory	6,200	4,500
Accounts Receivable	5,600	4,600
Prepaid Expenses	1,600	2,600
Cash	3,200	3,500
Total Assets	**28,600**	**25,700**
Share Capital – Ordinary, $1 par	15,900	15,900
Retained Earnings	900	700
Notes Payable – Bank, Long-term	0	2,400
Bonds Payable	4,000	0
Accounts Payable	6,300	5,100
Accrued Expenses	1,500	1,600
Total Liabilities and Equity	**28,600**	**25,700**

Note: All equipment purchased was for cash. Net income was $200 for the year 2025.

Required: Prepare a statement of cash flows for the year 2025 using the indirect method.

[End of Questions]

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